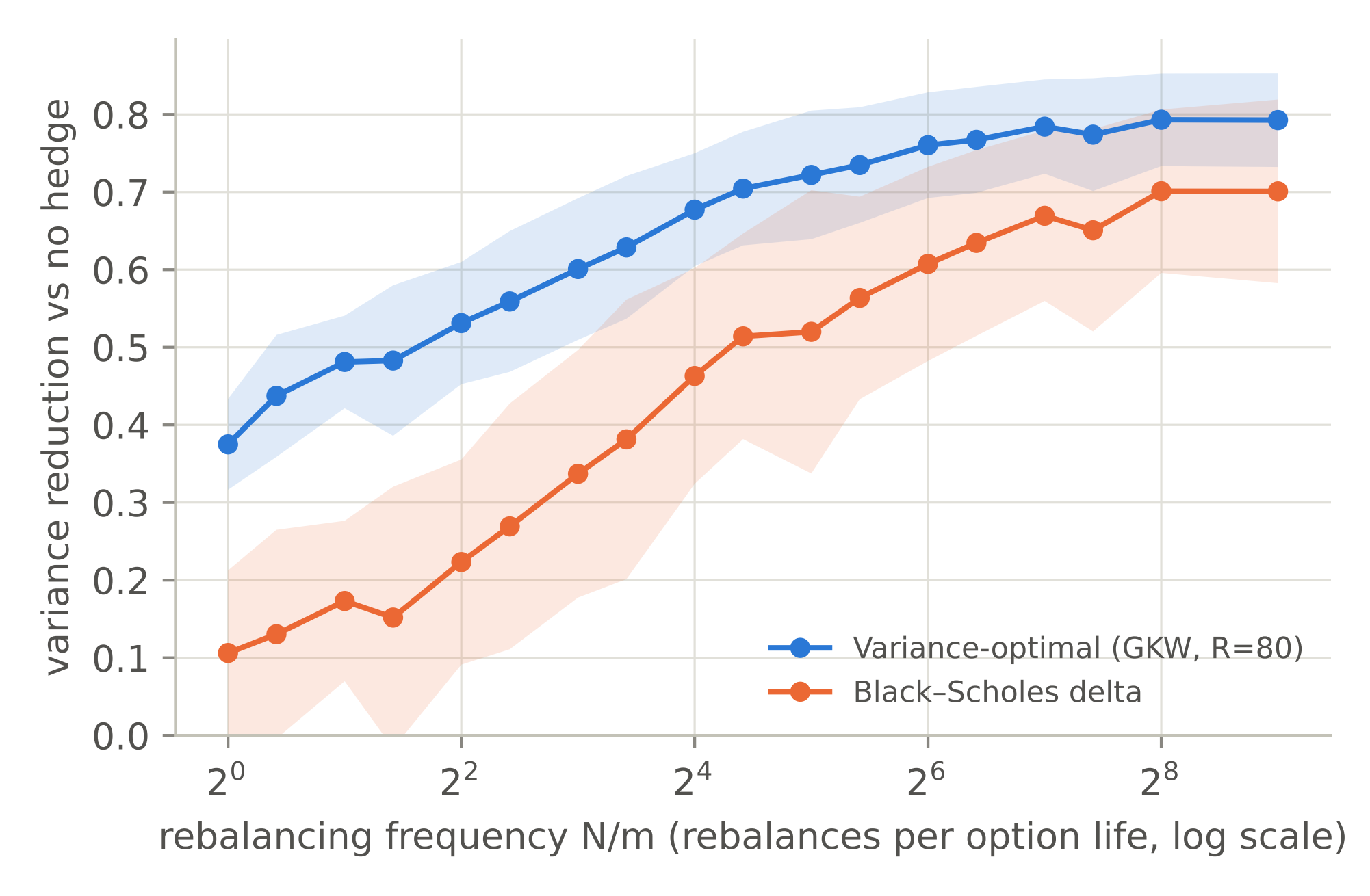
variance reduction vs no hedge
0.0
0.1
0.2
0.3
0.4
0.5
0.6
0.7
0.8
2^0
2^2
2^4
2^6
2^8
rebalancing frequency N/m (rebalances per option life, log scale)
Variance-optimal (GKW, R=80)
Black–Scholes delta